

Equal-Weight vs Risk Parity Comparison

Analysis results for the 10-year window as of 2026-04-30

Executive Summary

Equal-Weight and Risk Parity are compared on the same asset universe and reporting window. Equal-Weight CAGR is 10.60% versus 7.80% for Risk Parity. Equal-Weight volatility is 10.30% versus 8.10% for Risk Parity. The CAGR delta (EW minus RP) is 2.90%.

Key Metrics

Metric	Equal-Weight	Risk Parity	Delta (EW - RP)
CAGR	10.60%	7.80%	2.90%
Volatility	10.30%	8.10%	2.20%
Max Drawdown	-19.70%	-18.20%	-1.50%
Sharpe	0.819	0.689	0.131
Sortino	1.355	1.085	0.270
Market Sensitivity	0.512	0.395	0.116

Main Risk Contributors

Instrument	Equal-Weight	Risk Parity	Delta (EW - RP)
GLD	11.90%	12.70%	-0.80%
QQQ	16.50%	12.80%	3.70%
SCHD	12.40%	12.70%	-0.30%
SLV	27.00%	12.90%	14.10%
SPY	14.20%	12.80%	1.40%

Stress Context

- **Equal-Weight:** One risk area requires attention.
- **Risk Parity:** Diagnostic status.

Both variants are calculated from the same available data; the difference is the weighting method.